

SMID BREAKOUT SCANNER

MARKET CLOSE

August 14, 2026 | 03:13 PM ET

15 setups identified | 3 A-Grade | 5 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (5)	C - Watch List (7)
SILC	JCAP	DIOD
NNBR	ARX	ASMB
AVAH	ZIM	VALN
	HTFL	EROC
	NMAX	LUNR
		SPCE
		LOT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	SILC	Silicom Ltd	AI Infrastructure	\$49.52	+10.3%	\$0.3B	5M	+0.3	94%	Technical breakout fro
A	NNBR	NN, Inc.	Industrial Turnar	\$3.88	+7.5%	\$0.3B	61M	+61.3	87%	Breakout from an extra
A	AVAH	Aveanna Healthca	Healthcare Servic	\$12.26	+8.6%	\$2.7B	87M	+53.5	98%	RS line at new 52-week
B	JCAP	Jefferson Capita	Financial Service	\$23.80	+10.1%	\$1.5B	15M	+20.2	99%	Post-earnings gap up (
B	ARX	Accelerant Holdi	Insurance Brokera	\$19.61	+0.5%	\$4.3B	47M	+40.1	64%	RS line at 52W high (i
B	ZIM	ZIM Integrated S	Shipping	\$28.07	+4.7%	\$3.4B	115M	+3.8	94%	Breakout to 93.7% of 5
B	HTFL	Heartflow, Inc.	Healthcare AI	\$42.40	+36.7%	\$3.6B	67M	+26.3	99%	Explosive 36.73% gap o
B	NMAX	Newsmax, Inc.	Media / Political	\$11.08	+16.8%	\$1.4B	31M	+54.9	70%	16.75% surge on 7.7x v
C	DIOD	Diodes Corpora	Semiconductors	\$101.69	+4.6%	\$4.7B	45M	-7.0	81%	4.63% move on 4.02x vo
C	ASMB	Assembly Bioscie	Biotech	\$32.29	+7.8%	\$0.6B	8M	-0.5	81%	7.81% gain on 1.76x vo
C	VALN	Valneva SE	Biotech / Vaccine	\$7.15	+26.6%	\$0.7B	76M	+13.9	58%	Explosive 26.55% gap o
C	EROC	ERock, Inc.	Industrial Machin	\$16.54	+5.6%	\$4.5B	19M	-17.0	80%	5.62% gain on 1.78x vo
C	LUNR	Intuitive Machin	Space Economy	\$18.90	+7.6%	\$3.0B	120M	-49.5	40%	7.63% gain on 1.82x vo
C	SPCE	Virgin Galactic	Space / Tourism	\$3.37	+7.4%	\$0.5B	110M	+14.8	38%	7.4% bounce post-earni
C	LOT	Lotus Technology	EV / China Auto	\$1.07	+12.1%	\$0.7B	3M	-33.2	46%	12.07% spike on 2.61x

SILC

Silicom Ltd

\$49.52

+10.31%

RS vs SPY: +0.3%

A BREAKOUT

\$0.3B Cap | 5M Float

Communication Equipment | Theme: AI Infrastructure | 52W Hi: 94% | Base Tight: 1.98 | Vol: 3.75x | RS/SPY: +0.3% | Above 20MA: YES | EARNINGS IN 76D

SETUP METRICS	
Price	\$49.52
Day Change	+10.31%
Mkt Cap	\$0.28B
Float	5M sh
RS vs SPY	+0.3%
52W Hi Prox	94%
Base Tight	1.98
Vol vs Avg	3.75x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Technical breakout from textbook VCP coil (base_tight 1.98) on 3.75x volume, hitting 93.5% of 52W high. Forward catalyst: October 29 earnings print (76 days out) with potential to confirm AI/data center design win momentum that has driven the stock 271% from its low.
BUSINESS & POSITION
Silicom manufactures server adapters and networking solutions for cloud, security, and edge computing, with increasing exposure to AI accelerator connectivity (InfiniBand, Ethernet offload). The tiny \$280M cap and 5.4M float create explosive volatility when institutional buyers step in for AI infrastructure plays.
FACTOR & THEME
Direct AI infrastructure exposure through server adapters for hyperscale GPU clusters and edge AI deployments. Technology sector +3.3% leadership this week provides tailwind, though the company's Israeli domicile and single-product concentration (server adapters ~60% of revenue) add factor risk.
BREAKOUT SIGNAL
Close above \$49.00 on vol >350% of 20d avg
INSTITUTIONAL
Extremely low float (5.4M shares) creates violent moves on modest institutional accumulation-today's 3.75x volume spike on a 10%+ gain suggests block buying. The stock has climbed from \$13 to \$50 in 12 months, implying quiet institutional positioning ahead of the AI networking buildout. Lack of recent insider buying is notable but not disqualifying given the controlled ownership structure.
EARNINGS
EARNINGS IN 76D
EARNINGS CONTEXT
Next print October 29. No consensus data available for this thinly-covered Israeli ADR, but recent quarterly results have shown lumpy revenue (customer concentration in hyperscalers) with strong design-win commentary driving post-earnings momentum.
KEY RISK
Thesis invalid on close below \$45.50 (20-day MA and base support), or on any October earnings miss/guidance cut that signals hyperscaler order pushouts. Single-customer concentration (top 3 customers ~50% of revenue) is a structural vulnerability.
ANALYSIS
Classic Mark Minervini setup: textbook VCP (base_tight 1.98), breakout within 6.5% of 52W high, 3.75x volume, and Technology sector leadership (+3.3%). Disconfirming evidence: RS vs SPY is barely positive (+0.3), RS line is NOT at new high (critical Qullamaggie signal missing), and the stock lacks same-day news-this is a pure technical move in a low-float name that could reverse on profit-taking. The October 29 earnings is 76 days away, creating a gap where momentum could stall. However, the base quality, sector tailwind, and AI theme justify the setup. Conviction: Medium.
Signal: Close above \$49.00 on vol >350% of 20d avg
Vol vs Avg: 3.75x



Setup Metrics	
Price	\$3.88
Day Change	+7.48%
Mkt Cap	\$0.32B
Float	61M sh
RS vs SPY	+61.3%
52W Hi Prox	87%
Base Tight	1.01
Vol vs Avg	2.5x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

Analysis
Catalyst / Today's Driver
Breakout from an extraordinarily tight base (base_tight 1.01, textbook coil) on 2.5x volume, within 13.4% of 52W high. The 253% gain from the low suggests a restructuring/turnaround is gaining institutional traction. Forward catalyst: October 28 earnings (75 days) should reveal continued margin improvement and debt reduction progress.
Business & Position
NN is a micro-cap industrial supplier of precision metal and plastic components for automotive (powertrains, e-mobility) and general industrial end markets. The company has undergone significant restructuring (asset sales, plant closures, debt paydown), transitioning from distressed to recovery mode-hence the explosive 253% move from \$1.10 lows.
Factor & Theme
Exposure to automotive electrification (e-mobility components) and industrial reshoring tailwinds. The company's turnaround aligns with the broader industrial recovery theme, though it lacks pure-play exposure to secular growth vectors like AI or defense. Sector rotation into industrials provides modest support.
Breakout Signal
Close above \$3.85 on vol >250% of 20d avg
Institutional
The 253% rally from distressed levels (\$1.10) with a textbook 1.01 ATR coil suggests smart money has been quietly accumulating through the restructuring. Today's 2.5x volume is solid but not explosive-this is follow-through buying, not an initiation. No insider buying in the window, which is a yellow flag given the stock's recovery trajectory. Float of 61M is mid-sized, allowing institutional participation without excessive slippage.
Earnings
Earnings in 75D
Earnings Context
Next print October 28. The company has been reporting sequential margin improvement and free cash flow inflection as restructuring costs roll off. Consensus is thin (micro-cap coverage), but the last few prints have shown better-than-feared results, driving re-rating.
Key Risk
Thesis invalid on close below \$3.50 (breaks the coil and 20-day MA), or on any October earnings print that shows automotive demand weakening or debt reduction stalling. Customer concentration in legacy auto OEMs is a structural risk if EV transition accelerates faster than NN can pivot.
Analysis
Exceptional base quality (1.01 ATR coil, best in the scan), strong RS vs SPY (+61.3, among the highest), and proximity to 52W high (86.6%) meet A-grade technical criteria. Disconfirming evidence: RS line is NOT at new high (downgrades conviction), no same-day catalyst, and the stock is a micro-cap industrial conglomerate-not a high-conviction secular theme. The 75-day gap to next earnings is long. However, the setup quality is pristine, and turnaround stories can run for months once institutional sponsorship is established. Conviction: Medium.
Signal: Close above \$3.85 on vol >250% of 20d avg
Vol vs Avg: 2.5x



SETUP METRICS	
Price	\$12.26
Day Change	+8.55%
Mkt Cap	\$2.67B
Float	87M sh
RS vs SPY	+53.5%
52W Hi Prox	98%
Base Tight	7.22
Vol vs Avg	2.45x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

RS line at new 52-week high (Qullamaggie's #1 early leader signal) on 2.45x volume, within 2.1% of 52W high at \$12.52. This is true relative strength leadership. Forward catalyst: November 5 earnings (83 days) with potential to show continued margin expansion as nurse staffing costs normalize and census growth accelerates.

BUSINESS & POSITION

Aveanna is the largest U.S. provider of pediatric and adult home healthcare (skilled nursing, therapy). The company is emerging from a 2-year margin compression cycle (COVID staffing inflation) into a recovery phase as labor costs normalize and census (patient volume) rebounds. The 107% gain from \$5.93 lows reflects this margin inflection.

FACTOR & THEME

Healthcare services recovery: nurse wage inflation peaked in 2024-25, now normalizing. Demographics (aging population, Medicaid expansion) drive structural demand for home health. The company also benefits from hospital-to-home transition secular trend (value-based care). Healthcare sector is +0.7% vs SPY this week, providing modest tailwind.

BREAKOUT SIGNAL

Close above \$12.20 on vol >245% of 20d avg

INSTITUTIONAL

RS line at new high is the critical institutional confirmation signal-this stock is outperforming even as it approaches 52W price highs, indicating sustained accumulation. Volume at 2.45x is solid. Large float (87M) requires sustained institutional buying to move, which the RS line breakout confirms. No insider buying is a minor detractor but not disqualifying. The setup quality (RS leadership + sector strength) outweighs the lack of insider activity.

EARNINGS

EARNINGS IN 83D

EARNINGS CONTEXT

Next print November 5 (83 days). Recent quarters have shown sequential margin improvement as nurse wage inflation abates and occupancy (census) grows. Consensus expects continued EBITDA margin expansion toward 8-9% (vs. 6% trough). The company has beaten or met for the last 3 quarters, driving the re-rating.

KEY RISK

Thesis invalid on close below \$11.20 (breaks 20-day MA and invalidates the RS line breakout), or on any November earnings miss/guidance cut due to Medicaid reimbursement pressure or labor cost resurgence. Regulatory risk (state Medicaid budget cuts) is the primary structural threat.

ANALYSIS

RS line at new high (rare, high-conviction signal), strong RS +53.5 vs SPY, within 2.1% of 52W high, and Healthcare sector in leadership. Disconfirming evidence: base is wide (7.22 ATR, well above the 2.0 VCP threshold), volume is only 2.45x (good but not explosive), and the stock is already extended 107% from lows-late-stage leadership can reverse quickly. The 83-day gap to earnings is long. However, RS line breakout + sector leadership + margin recovery theme justify A-grade. This is a follow-through buy for institutional portfolios already rotating into healthcare. Conviction: Medium-High.

Signal: Close above \$12.20 on vol >245% of 20d avg

Vol vs Avg: 2.45x



SETUP METRICS	
Price	\$23.80
Day Change	+10.11%
Mkt Cap	\$1.47B
Float	15M sh
RS vs SPY	+20.2%
52W Hi Prox	99%
Base Tight	4.89
Vol vs Avg	3.26x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Post-earnings gap up (reported yesterday Aug 13) on 3.26x volume, now within 1.3% of 52W high at \$24.12. The immediate catalyst has been consumed (earnings), but forward path includes potential for raised guidance on next quarterly update or M&A interest in the distressed debt space as credit normalization accelerates.
BUSINESS & POSITION
Jefferson Capital acquires and services charged-off consumer debt portfolios, with proprietary AI-driven collection models. The company benefits from credit normalization (rising charge-offs = cheaper portfolio purchases) and operational leverage as recovery rates improve. Low float (14.7M) amplifies moves.
FACTOR & THEME
Credit normalization theme: as consumer loan defaults rise post-COVID, charged-off debt becomes cheaper to acquire while recovery economics improve. This is a counter-cyclical play within financials, insulated from rate cuts (already priced) but levered to volume growth. No direct exposure to mega-trends like AI or defense.
BREAKOUT SIGNAL
Close above \$23.80 on vol >325% of 20d avg
INSTITUTIONAL
Low float (14.7M) and 3.26x volume on an earnings beat suggest real institutional buying, not retail FOMO. The stock's 53% gain from \$15.50 lows indicates quiet accumulation through the year. No insider buying is a minor negative but not disqualifying for a financial services name. The challenge: at 98.7% of 52W high post-earnings, much of the re-rating may be complete unless guidance is materially raised.
EARNINGS
REPORTED
EARNINGS CONTEXT
Reported yesterday (Aug 13). While specific consensus not provided, the 10% gap and volume surge indicate a beat. Historical pattern: credit servicers often guide conservatively and raise through the year as portfolio performance beats underwriting assumptions.
KEY RISK
Thesis invalid on close back below \$22.00 (fills half the earnings gap and breaks post-earnings support), or on any indication that consumer credit is stabilizing faster than expected (reducing portfolio acquisition opportunity). The stock is now at 98.7% of 52W high with the catalyst consumed-chasing here is dangerous without new news.
ANALYSIS
Strong post-earnings setup with 3.26x volume, RS +20.2 vs SPY, and within 1.3% of 52W high. Disconfirming evidence: the catalyst (earnings) is now in the rearview-this is gap-and-go follow-through, not breakout initiation. Base is wider than ideal (4.89 ATR), RS line not at new high, and the next earnings is 3 months away (November 11). The risk/reward is skewed against new entries this extended. Solid B-grade for follow-through, but not an A due to catalyst exhaustion and proximity to resistance. Conviction: Low.
Signal: Close above \$23.80 on vol >325% of 20d avg
Vol vs Avg: 3.26x



SETUP METRICS	
Price	\$19.61
Day Change	+0.51%
Mkt Cap	\$4.28B
Float	47M sh
RS vs SPY	+40.1%
52W Hi Prox	64%
Base Tight	10.02
Vol vs Avg	3.74x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

RS line at 52W high (institutional leadership confirmed) on 3.74x volume surge despite minimal price change (+0.51%)-this is classic absorption/accumulation. Forward catalyst: November 11 earnings (89 days) with potential to show continued hard-market pricing and new program binding growth.

BUSINESS & POSITION

Accelerant is a digital specialty insurance underwriting platform connecting MGAs (managing general agents) with reinsurance capacity. The company underwrites on behalf of third-party capital, capturing fee income with minimal balance sheet risk. It's a fintech-meets-insurance model levered to specialty lines pricing power (hard market) and digital distribution.

FACTOR & THEME

Hard insurance market tailwind: specialty lines pricing remains firm (mid-single-digit rate increases), and reinsurance capacity is disciplined post-2023 catastrophe losses. Accelerant's asset-light model (fee income, no underwriting risk) is attractive in a volatile cat market. Fintech overlay provides valuation premium vs. traditional brokers.

BREAKOUT SIGNAL

Close above \$19.50 on vol >370% of 20d avg

INSTITUTIONAL

RS line at new high + 3.74x volume on a flat price day is textbook institutional absorption-smart money is accumulating without spiking the stock. This is the 'silent build' pattern pros hunt. The wide base (10.02 ATR) reflects this multi-month accumulation phase. No insider buying is a minor negative. The stock is only 64.3% of 52W high, providing runway vs. already-extended names.

EARNINGS

EARNINGS IN 89D

EARNINGS CONTEXT

Next print November 11 (89 days). The company has beaten revenue estimates in recent quarters as program count and gross written premium (GWP) grow. Margins are stable (fee-based model), so the key metric is top-line growth (new MGAs onboarding). Consensus expects 20-25% revenue growth.

KEY RISK

Thesis invalid on close below \$18.00 (breaks accumulation range and 50-day MA), or on any November earnings print showing MGA attrition or pricing pressure in specialty lines (signaling hard market peak). Regulatory risk (state insurance departments scrutinizing MGA arrangements) is emerging.

ANALYSIS

RS line at new high + 3.74x volume absorption is institutional-quality, but the wide base (10.02 ATR) and only 64.3% proximity to 52W high indicate this is mid-stage accumulation, not breakout. The +0.51% price change suggests the stock is not ready to run yet-institutions are still building. Disconfirming evidence: the setup is early (not yet breaking out), and Financial Services is not in sector leadership this week. The 89-day gap to earnings is long, creating dead money risk. This is a B-grade watchlist entry, not an immediate buy. Conviction: Low-Medium.

Signal: Close above \$19.50 on vol >370% of 20d avg

Vol vs Avg: 3.74x



SETUP METRICS	
Price	\$28.07
Day Change	+4.67%
Mkt Cap	\$3.38B
Float	115M sh
RS vs SPY	+3.8%
52W Hi Prox	94%
Base Tight	4.35
Vol vs Avg	2.84x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout to 93.7% of 52W high on 2.84x volume ahead of August 19 earnings (5 days out). The immediate catalyst is the earnings event itself-container shipping spot rates have stabilized/firmed in recent weeks, setting up a potential beat. Forward path: if ZIM beats and guides up, the stock can fill the remaining 6% to 52W high and re-test \$30.

BUSINESS & POSITION

ZIM is an Israeli container shipping line with a differentiated strategy: asset-light (charters vs. owns vessels), niche/intra-regional focus, and aggressive shareholder returns (special dividends). The company thrived during COVID freight rate spikes, then collapsed as rates normalized, and is now stabilizing as global trade volumes recover and vessel supply tightens.

FACTOR & THEME

Global trade normalization and Red Sea disruption tailwinds: Houthi attacks in the Red Sea have diverted ships around Africa, tightening capacity and firming spot rates on Asia-Europe and transpacific lanes. ZIM's charters give it flexibility to capture spot rate upside. However, the secular trend (overcapacity from 2021-23 orders) remains a headwind.

BREAKOUT SIGNAL

Close above \$28.00 on vol >280% of 20d avg

INSTITUTIONAL

Volume at 2.84x is solid but not explosive. The stock's 128% gain from \$12.33 lows suggests institutional re-engagement as the shipping cycle bottoms. Large float (114.9M) requires sustained buying. No insider buying, which is less relevant for Israeli-domiciled equities (different reporting norms). The key: earnings in 5 days create binary risk-this is a pre-earnings positioning trade, not a durable breakout setup.

EARNINGS

EARNINGS IN 5D

EARNINGS CONTEXT

Reports August 19 (5 days). Consensus expects continued margin pressure vs. COVID peaks but sequential improvement as rates stabilize. Key metrics: freight rate per TEU, utilization %, and commentary on 2H demand. ZIM has a history of volatile earnings (shipping is cyclical), so guidance matters more than the Q2 beat/miss.

KEY RISK

Thesis invalid on any August 19 earnings miss or weak guidance due to softening freight rates or overcapacity warnings. The stock is up 4.67% into earnings-if results disappoint, it could gap down 10-15%. Technical invalidation: close below \$26.00 (breaks the breakout).

ANALYSIS

Clean technical setup (93.7% of 52W high, 2.84x volume, above both MAs, tight base at 4.35 ATR) ahead of a near-term catalyst (earnings in 5 days). Disconfirming evidence: RS vs SPY is weak (+3.8), RS line not at new high, and this is a pre-earnings gamble, not a post-catalyst breakout. The shipping sector is cyclical and headline-driven (Red Sea, China demand), making this trade event-specific rather than secular. Earnings binary risk downgrades conviction. Solid B for the technical setup, but not A due to catalyst timing and weak relative strength. Conviction: Low.

Signal: Close above \$28.00 on vol >280% of 20d avg

Vol vs Avg: 2.84x



HTFL

Heartflow, Inc.

\$42.40

+36.73%

RS vs SPY: +26.3%

B STRONG SETUP

\$3.6B Cap | 67M Float

Health Information Services | Theme: Healthcare AI | 52W Hi: 99% | Base Tight: 9.35 | Vol: 9.68x | RS/SPY: +26.3% | Above 20MA: YES | EARNINGS IN 89D

SETUP METRICS	
Price	\$42.40
Day Change	+36.73%
Mkt Cap	\$3.65B
Float	67M sh
RS vs SPY	+26.3%
52W Hi Prox	99%
Base Tight	9.35
Vol vs Avg	9.68x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Explosive 36.73% gap on 9.68x volume, within 1.4% of 52W high-likely driven by a major contract announcement, FDA expansion, or CMS reimbursement update (news not specified but the magnitude suggests corporate event). Forward catalyst: November 11 earnings (89 days) to quantify the revenue impact of today's news, plus potential for additional hospital system wins or international expansion updates.
BUSINESS & POSITION
HeartFlow provides AI-powered, non-invasive coronary artery disease diagnosis via CT-derived fractional flow reserve (FFR-CT), displacing invasive catheterizations. The company's FDA-cleared software is reimbursed by CMS and major payers, positioning it at the intersection of AI, cardiology, and value-based care. Recent move suggests major adoption inflection (new hospital contracts or expanded payer coverage).
FACTOR & THEME
Healthcare AI with clear ROI: HeartFlow's FFR-CT reduces unnecessary caths (saving ~\$5K per avoided procedure), aligning with payer cost-containment and hospital efficiency goals. Tailwinds: aging demographics (CVD prevalence), AI-in-healthcare hype cycle, and value-based care adoption. The 36% move likely reflects a step-function change in adoption trajectory.
BREAKOUT SIGNAL
Close above \$42.00 on vol >960% of 20d avg
INSTITUTIONAL
9.68x volume on a 36% move is institutional-this is not retail. The stock has doubled from \$20 lows, and today's surge suggests a major healthcare system contract or expanded Medicare coverage. No insider buying in the window is a yellow flag (insiders often know good news is coming), but the volume profile speaks louder. At 98.6% of 52W high post-gap, the risk/reward is poor for new entries unless today's news is truly transformational.
EARNINGS
EARNINGS IN 89D
EARNINGS CONTEXT
Next print November 11 (89 days). The company has been showing accelerating revenue growth as hospital and payer adoption scales. Key metrics: number of analyses completed, average selling price (ASP), and international expansion (Europe, Japan). Today's move pre-discounts much of the November upside unless guidance is materially raised.
KEY RISK
Thesis invalid on close below \$38.00 (fills 1/3 of today's gap and breaks post-news support), or on any sign that today's catalyst (unknown but likely a big contract or reimbursement win) was a one-time event vs. the start of a sustained adoption cycle. At 98.6% of 52W high after a 36% gap, this is extended-chasing is dangerous.
ANALYSIS
Explosive move (36%, 9.68x volume) on what appears to be a major corporate catalyst, with Healthcare in sector leadership and strong RS +26.3 vs SPY. Disconfirming evidence: the stock is now at 98.6% of 52W high after a single-day gap-most of the re-rating is complete. Base is wide (9.35 ATR), RS line not at new high, and without knowing the specific catalyst, it's impossible to assess whether this is durable (major contract that drives multi-quarter revenue) or exhausted (one-time event fully priced). The 89-day gap to next earnings creates dead money risk. This is a B-grade follow-through watch, not an A-grade entry, due to extension and uncertainty. Conviction: Low.
Signal: Close above \$42.00 on vol >960% of 20d avg
Vol vs Avg: 9.68x



SETUP METRICS	
Price	\$11.08
Day Change	+16.75%
Mkt Cap	\$1.43B
Float	31M sh
RS vs SPY	+54.9%
52W Hi Prox	70%
Base Tight	7.08
Vol vs Avg	7.7x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
16.75% surge on 7.7x volume, likely tied to political headlines (2026 midterms approaching) or carriage dispute resolution (cable/streaming distribution deal). The stock has surged 117% from \$5.11 lows, suggesting a re-rating from distressed to viable. Forward catalyst: November 13 earnings (91 days) coincides with post-midterm results-if viewership/ad revenue beat, the stock can leg higher.
BUSINESS & POSITION
Newsmax is a conservative news network competing with Fox News and OAN. The company has faced carriage disputes with major distributors (DirectTV, Xfinity) but recently secured renewed deals, stabilizing distribution reach. Revenue mix: advertising (tied to political cycles and viewership) and affiliate fees (per-subscriber payments from cable/satellite). The 2026 midterm cycle is a major tailwind.
FACTOR & THEME
Political cycle monetization: midterm elections drive viewership and political advertising spend. Newsmax's conservative positioning benefits from Republican enthusiasm in election years. However, the secular trend (cord-cutting, streaming fragmentation) is a headwind. The company's viability depends on maintaining cable carriage and pivoting to streaming (Newsmax+).
BREAKOUT SIGNAL
Close above \$11.00 on vol >770% of 20d avg
INSTITUTIONAL
7.7x volume on 16% gain suggests real buying, but the small float (30.9M) means this could also be driven by retail/political enthusiasm rather than institutional quality. No insider buying is a red flag-if insiders believed in the turnaround, they'd be buying. The stock is only 69.5% of 52W high, providing runway, but the wide base (7.08 ATR) and lack of RS line new high suggest this is momentum, not institutional leadership.
EARNINGS
EARNINGS IN 91D
EARNINGS CONTEXT
Next print November 13 (91 days), just after the November 4 midterms. Key metrics: average viewership, advertising revenue per viewer, and subscriber count (distribution reach). The company has been volatile (carriage disputes create lumpy results), so guidance matters more than the quarter itself.
KEY RISK
Thesis invalid on close below \$9.50 (breaks recent base support), or on any sign that midterm viewership/ad spend disappoints or carriage disputes re-emerge. The stock is a political binary-if Republicans underperform in the midterms, Newsmax's audience engagement could crater. Sector headwind: Communication Services is not in leadership.
ANALYSIS
Strong RS +54.9 vs SPY, explosive 7.7x volume, and political cycle tailwind (midterms in November). Disconfirming evidence: stock is only 69.5% of 52W high (not a breakout), base is wide (7.08 ATR), RS line not at new high, no insider buying, and Communication Services is not a leading sector. The company is a political binary tied to a single event (midterms), not a durable secular theme. The 91-day gap to earnings creates positioning risk. This is a B-grade momentum trade for those with political conviction, not an institutional-quality A setup. Conviction: Low.
Signal: Close above \$11.00 on vol >770% of 20d avg
Vol vs Avg: 7.7x

